

profits from momentum investing, even after accounting for costs and risk factors, there was still little interest in momentum among academics.

During this time, belief among academic researchers in efficient markets was still prevalent, which is a major reason why momentum never got the attention or respect that it deserved. Many academics still thought stock market returns followed a random walk process, similar to Brownian motion, where aggressive competition among market participants to exploit any predictable patterns made price changes random and unpredictable. As the saying goes, if your only tool is a hammer, everything looks like a nail. Academics pounded on momentum until it was barely noticeable.

This began to change in the 1980s. Nobel laureate Robert Shiller (1981) published “Do Stock Prices Move Too Much to Be Justified by Subsequent Changes in Dividends?” This paper showed that historically stocks were more volatile than would be expected if investors were strictly rational. Keim and Stambaugh (1986) presented evidence that stock returns contain predictable components. In 1987, evidence that stock prices could seriously deviate from their fair values got a boost when the stock market fell over 20% in a single day. This one-day collapse strained the limits of rationality. Academics had also begun documenting persistence in stock prices due to positive serial correlation, which contradicts the random walk theory of stock price movement.⁵ De Bondt and Thaler (1985) had identified a long-term reversal effect in stocks whereby investors correct excessive overvaluation or undervaluation. These all cast doubts on perfect market efficiency.

Behavioral finance also started gaining traction as a way of explaining the growing number of market anomalies, such as price momentum and mean reversion. The academic community had begun to wake up and take notice. Behavioral finance is the study of the influence of psychology on the behavior of investors and the effect this has on markets. Behavioral biases helped to resolve some of the growing disconnect between theory and reality in the world of finance. [Chapter 4](#) will shed more light on the rational and behavioral aspects of momentum, including how they help explain why momentum works and why it is likely to continue to work in the years ahead.